the rest. As your savings and investments grow, your financial situation will improve dramatically.

An extension of this habit is to track your spending. Make it a point to write down how much you spend and on what. There are several mobile applications that help you automatically track spending, so you will know how much you are spending across categories. Track expenses under heads such as household, rent, groceries and others, which will provide the budgeting skills necessary to last a lifetime.

**# HABIT 2**

## SETTING FINANCIAL GOALS

Goal-setting has proven benefits in our financial lives as it provides direction and meaning to our savings and investing efforts. The habit makes it easy for you to make sacrifices or stick to a budget because you know what outcome you are striving for. Goals can be both for the short and the long term and it helps if you put them down under these two heads to make appropriate decisions.

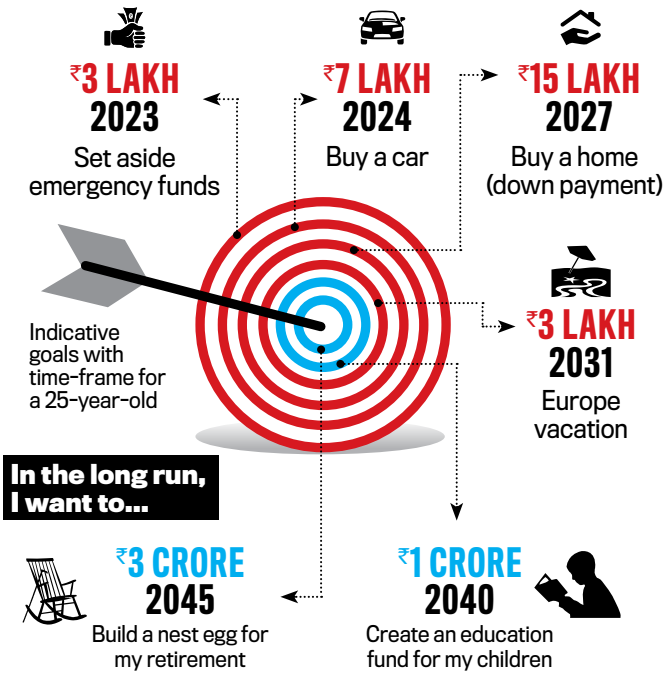
Setting financial goals helps you stay disciplined in your investment process (see *Financial Goals...*). The habit of being accountable to your goals provides the inspiration to keep you working towards them. For instance, the goal of funds for your children's education is something that you rarely touch for other uses. Moreover, if you develop the habit of regularly reviewing your goals, it will help keep you on track. Importantly, when you reach your financial goals, you get a sense of accomplishment. The habit of setting financial goals and executing them will help you in all your other financial efforts.

### CHECK YOUR MONEY HABITS

| Habit | Good | Bad |
|---|---|---|
| Paying minimum credit card dues | | 👎 |
| Paying off outstanding loans | 👍 | |
| Spending more than you make | | 👎 |
| Paying yourself first | 👍 | |
| First save and then spend | 👍 | |
| Shopping for instant gratification | | 👎 |
| Saving and investing regularly | 👍 | |
| Spending on needs over wants | 👍 | |
| Having a household budget | 👍 | |
| Reviewing your bank statement | 👍 | |
| Being stingy on insurance cover | | 👎 |
| Procrastinating on financial decisions | | 👎 |
| Learning new financial skills | 👍 | |

## FINANCIAL GOALS

**In the next few years, I want to...**




**# HABIT 3**

## CONTRIBUTING TO RETIREMENT SAVINGS

Start a retirement savings plan as soon as you start earning. Most salaried people are exposed to mandatory retirement savings through their employer in the form of provident fund or the NPS (National Pension System). But there are also numerous other retirement savings options available that can also provide a form of income tax deferral. These are essential to building a healthy nest egg for retirement.

It is better to start contributing a little bit now than to wait until you can contribute a lot. For instance, over a 30-year span (which is the number of years one normally is employed before retiring), an average Rs 15,000 a month for 360 months earning 10 per cent returns works out to Rs 3.39 crore when one retires. Make it a habit to set up retirement savings and start funding it with your money for a financially secure retirement.

**# HABIT 4**

## CHECKING YOUR CREDIT HISTORY AND CREDIT SCORE

You may not be aware of the importance of your credit score, but that is how lenders evaluate your creditworthiness. Your credit history and credit scores are vital pieces of information that are important to your overall financial wellbeing. You can avail your credit report for free, though you may have to pay for it if you seek it beyond a few times. Viewing your credit history as shown in your credit reports and your credit score will help you understand your current credit position.

A credit score is a three-digit number designed to represent your credit risk,